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THE ECOSYSTEM APPROACH

26 | The West Asia conflict has brought to the fore the need to follow an ecosystem approach to ensure energy security. The current worries relate to not just delayed crude oil and gas supplies but also availability of strategic reserves, Indian tankers and marine insurance.

B Ashok, ex-Chairman, India Oil Ltd, says if India is looking at 2-2.5X GDP increase in the next 15 years, it will have to focus on energy security. “We may be short of crude but our refining capacities are ahead of time. When we are facing an LPG crisis, the government has been able to push some refiners to produce more LPG. We should continue to focus on increasing our refining capacity. That will give us flexibility because crude is a far deeper market. Downstream industries are dependent on a lot on petrochemical products,” he says.

Ashok says India also needs to expand strategic oil and gas reserves. India’s strategic oil reserve can last 74 days against 90 days recommended by the IEA. “We will have to find the money for these projects. It is not only the crude that is important but also critical products like LPG. Japan and South Korea have huge strategic stor-

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India’s biggest hydrocarbon discovery to date, Bombay High, accounted for 68% of India’s crude oil production at its peak in the late ’80s

age of LPG. Caverns for LPG storage in Visakhapatnam and Mangaluru are small compared to demand,” he says.

The conflict has also brought focus on Indian flagged tankers and marine insurance as war risk premiums are up 300%; many insurers are even cancelling policies for vessels passing through Iranian waters. India is exploring a dedicated ₹1,000 crore fund to back insurers offering war-risk cover for ships.

Experts say there is a lot to learn from China, which has built a multi-layered energy architecture. “To become self-dependent in oil and gas, India must accelerate investments in supply diversification, oil and gas reserves, shipbuilding and tanker capacity, marine insurance and logistics infrastructure, and accelerate energy transition,” says Sukla Mistry, ex-Director (Refineries), Indian Oil Corporation.

The Gulf conflict has given enough reasons to advance the country’s energy security through a balanced approach of increasing domestic oil and gas production while continuing to transition towards cleaner energy sources. **BT**

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